

Statistics

[Table 13.2](#) shows general statistics for the descending broadening wedge.

Number found. I sifted through my databases searching for this pattern and found 1,011 from July 1991 to June 2018 in 565 stocks. This is not an easy pattern to find, and it's rare enough that I removed the bear market patterns because I found too few. Not all stocks covered the entire period and some no longer trade.

Looking at the numbers, you can see that upward breakouts happen most often.

Reversal (R), continuation (C) occurrence. The table shows that upward breakouts act as reversals most often and downward breakouts act as continuations. However, the numbers are close to random.

[Table 13.2](#) General Statistics

Description	Up Breakout	Down Breakout
Number found	542	215
Reversal (R), continuation (C) occurrence	58% R, 42% C	44% R, 56% C
Reversal, continuation performance	38% R, 42% C	−13% R, −13% C
Average rise or decline	39%	−13%
Standard & Poor's 500 change	12%	−3%
Days to ultimate high or low	218	54
How many change trend?	55%	21%

Reversal/continuation performance. I sorted wedges by behavior (reversals and continuations) and checked performance for each. Downward breakouts show no performance difference, but upward breakouts give a slight edge to continuations for better performance.

Average rise or decline. Both the average rise and average decline are below what we see for other chart pattern types, so this chart pattern is not